institutional credibility is also a steep hurdle—one that involves securing the legitimacy necessary to ensure compliance from member states (Clark and Pratt 2024).[2] These challenges are particularly pronounced in issue areas with high barriers to entry, such as emergency financing, which demands substantial reserves of financial capital and expertise (Lipscy 2015, 2017). Not surprisingly, many successful IOs have emerged in the aftermath of crises, when systemic shocks created the political space for new multilateral arrangements to take root (Ikenberry 2001).

Even when new IOs are successfully launched, they often pale in influence compared with their established counterparts, which have spent decades cultivating resources, expertise, and trust among states. For example, despite the existence of numerous regional alternatives to the IMF, countries facing financial crises often turn to the Fund because of its unparalleled resources and technical know-how (Henning 2011). Similarly, some so-called challenger IOs mirror the structures of existing institutions, making them less true alternatives and more complementary bodies. The Chinese-led Asian Infrastructure Investment Bank, for instance, shares notable similarities with the World Bank and even co-finances development projects alongside it (Clark 2021, 2025).

Yet not all challenger-led IOs aspire to wield the same level of influence as traditional institutions. Populists often prioritize IOs that reinforce their nationalist agendas and grant them more autonomy rather than those that demand stringent compliance or oversight. These alternative IOs frequently act as platforms for symbolic politics—forums for defiant speeches, elaborate ceremonies, and other displays of leadership that boost domestic rather than international legitimacy.

Examples of such populist-driven IOs include the Visegrád Group (V4), a loose alliance of Hungary, Slovakia, Poland, and the Czech Republic; the Bolivarian Alliance for the Peoples of Our America (ALBA), championed by Venezuela's Hugo Chávez; and the Union of South American Nations (UNASUR). These organizations often function less as robust multilateral entities and more as vehicles for populist leaders to advance their national interests and criticize Western-led institutions (Söderbaum, Spandler, and Pacciardi 2021).

From the perspective of established IOs, the rise of rival institutions poses significant risks. Competition among IOs fragments the international